

not disappoint the market when the Congress party withdrew support to the stopgap Chandrashekhar government in March and called for fresh elections.

The market remained comatose in the run-up to the general elections to be held in May 1991 as the prospect of another hung parliament loomed. Rajiv Gandhi's assassination on 21 May was a shock for the market, as it had been betting on his return to power and continuing the reforms he had initiated during his stint in power. The market was closed the following day, but held up well when trading resumed on 23 May, with the Sensex closing flat, any panic having been averted by support from the domestic financial institutions.

The market remained in a tight range till the end of May. Most players were expecting the political uncertainty to continue even after the elections as no party was expected to win a clear majority. Then followed more bad news. Left with barely enough forex reserves to pay for three weeks of imports, the Chandrashekhar government had to borrow from the International Monetary Fund by pledging its gold reserves. The public was outraged, but this development fully revealed the mess the country was in.

Once again, the market did not crack as was widely expected. I learnt from the market that Harshad and brokers close to him were buying in a big way. I asked Sharma about it.

'Bhai feels the government's decision to pledge gold shows it will go to any length, to avoid a default,' Sharma said. I remained bearish, certain that it would be some time before the new government could get the economy out of the hole it had sunk into.

To everybody's surprise, the Congress did well in the second phase of the polls because of a sympathy wave following Rajiv Gandhi's assassination. It managed to form a government with support from some of the smaller parties. The Sensex climbed around 100 points, but the market reaction was still guarded.

The party on Dalal Street began after Manmohan Singh's path-breaking Budget of 24 July, which signalled India's willingness to open up its economy to the world by lowering import barriers and scrapping the licence system for industries. Among other things the stock market will remember that budget for was the government's promise to allow FIIs to invest in India. Private players were allowed to set up mutual funds. And the Controller of Capital Issues was proposed to be replaced by the Securities